

Chapter 3

Reporting financial performance

Introduction

Learning outcomes

Syllabus links

Examination context

Chapter study guidance

Learning topics

- 1 IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors
- 2 IFRS 5, Non-current Assets Held for Sale and Discontinued Operations
- 3 IAS 21, The Effects of Changes in Foreign Exchange Rates
- 4 IAS 24, Related Party Disclosures
- 5 IAS 33, Earnings per Share

Summary

Further question practice

Technical reference

Self-test questions

Answers to Interactive questions

Answers to Self-test questions



Introduction

Learning outcomes

- Identify the laws and regulations and accounting standards and other requirements applicable to the statutory financial statements of an entity.
- Calculate from financial and other data the amounts to be included in an entity's financial statements according to the international financial reporting framework.
- Prepare and present the financial statements, or extracts, of an entity in accordance with its accounting policies and appropriate international financial reporting standards.
- Explain the application of IFRS Standards to specified single entity scenarios.

Syllabus links

In *Accounting* you will have looked briefly at IAS 8 in the context of accounting for changes in accounting estimates and the correction of errors when preparing financial statements. In *Financial Accounting and Reporting*, those basic principles are developed. IFRS 5, IAS 21, IAS 24 and IAS 33 are introduced at this level. The more complex aspects of these standards will be covered at the Advanced Stage.

Examination context

In the assessment, students may be required to:

- Prepare financial statements or extracts including adjustments for:
 - changes in accounting policies
 - changes in accounting estimates
 - prior period adjustments
 - foreign currency transactions
- Explain the required accounting treatment.
- Identify and explain the circumstances in which an operation would meet the IFRS 5 definition of a discontinued operation.
- Calculate basic EPS and comment on how it might be affected by different accounting policies.
- Identify the distributable profits for an entity and explain the rules surrounding the calculation.
- Identify and discuss a related party situation and explain the disclosure requirements for related parties.

Chapter study guidance

Use this schedule and your study timetable to plan the dates on which you will complete your study of this chapter.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
1	IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors Some accounting standards offer an accounting policy choice, such as IAS 16 which allows property, plant and equipment to be held at historical cost or valuation. A company may change its accounting policies, but only in limited circumstances. Professional accountants frequently make estimates as to the amounts to be included in the financial statements. The method and rate of depreciation, the amount of allowance for receivables and the appropriate discount rate to use for provisions are all examples of estimates. IAS 8 considers how changes in estimates should be applied. IAS 8 also considers how	Approach Understand the importance of the choice and application of an accounting policy and then consider the reasons for and implications of changing an accounting policy. Be aware of changes caused by adopting a new policy, either because of a change by management or because of a change in the accounting standards. Compare that to the treatment for changes in accounting estimates. Make sure you can differentiate between a policy and an estimate. Finally, consider the implications of errors and how these are corrected in the financial statements. Stop and think Consider the reasons for wanting to change an entity's accounting policy. Why are changes in an accounting policy being instigated by	This accounting standard could be tested anywhere in the <i>Financial Accounting and Reporting</i> exam, as it lends itself to questions that may be numerical (showing the adoption of a new accounting policy or a change of accounting policy), explanatory (what is the effect of the changes in estimates or policies) or ethical (why is management considering the change and are there sinister motives for the proposed change?).	

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	we should correct for errors that relate to prior year financial statements.	the entity?		
2	IFRS 5, Non-current Assets Held for Sale and Discontinued Operations In this topic, only discontinued operations is covered (Chapter 4 looks at assets held for sale). The performance of a component of a business that will not continue into the future need to be presented separately.	Approach Understand the reasons for the standard and how it will help the users of the financial statements. Work through the topic and the worked examples which explain how applying the Standard affects the financial statements. Stop and think Consider the impact on the users of the financial statements if IFRS 5 didn't require a separate disclosure of discontinued operations. How would the users be able to predict future profits or potential earnings?	You may be asked to show the impact of a discontinued division in a single company or consolidated accounts question. Assessment of the knowledge and application of this standard will be part of a longer question.	IQ1 Discontinued Operation Work methodically through this question, using the proforma provided to practise your application of discontinued operations.
3	IAS 21, The Effects of Changes in Foreign Exchange Rates Many companies undertake transactions in foreign currencies and must translate these amounts into sterling in order to record them in their accounting records. You need to learn the rules	Approach Make sure that you understand when the relevant exchange rates should be applied (at the transaction date, at the year-end date for monetary balances) and how gains and losses are accounted for.	Your knowledge and application of IAS 21 could be tested in an objective test question or as part of a preparation of financial statements question.	IQ2 Exchange rate movements This is a simple question to show the impact of foreign exchange transactions and the implications of IAS 21 in the year-end accounts.

Topic	Practical significance	Study approach	Exam approach	Interactive questions
	regarding the exchange rates, the balances which need to be translated and how to account for exchange gains and losses.			
4	IAS 24, Related Party Disclosures Disclosure is required of the relationship with related parties and related party transactions and outstanding balances (eg, between a parent company and its subsidiary). Group financial statements often involve related party transactions so it is likely that you will have both practical and theoretical experience of transactions between multiple group companies.	Approach Understand what is meant by the term 'related party' and who those parties may be and what disclosures are required when there are related party transactions in the year. Stop and think Consider the implications for a group scenario, especially where there may be intra-group trading.	You may be asked to explain the reasons behind the requirements of IAS 24 or explain the related party disclosures that may be required. There could be some ethical considerations too if the directors of a company do not want to disclose related party information.	IQ3 Related party disclosures This question provides four scenarios and asks you to explain whether each should be disclosed in the financial statements.
5	IAS 33, Earnings per Share EPS is a commonly used performance measure for companies. The standard is only mandatory for listed companies.	Approach Learn the equation for the calculation of basic earnings per share (EPS) and consider the impact on the calculation of the entity issuing new shares.	The calculation of EPS is likely to be tested as part of a preparation of financial statements question, especially where shares have been issued during the year, so ensure you can calculate the weighted average number of shares.	IQ4 Dividend on irredeemable preference shares presented as equity & IQ5 Cumulative dividend on irredeemable preference shares presented as equity

Topic	Practical significance	Study approach	Exam approach	Interactive questions
				Both questions focus on how preference shares feature in the basic EPS calculation. IQ6 Bonus issue This question gives you a chance to practice calculating EPS where there has been a bonus issue. IQ7 Rights issue This question looks at the calculation of the bonus factor when calculating EPS after a rights issue.

Once you have worked through this guidance you are ready to attempt the further question practice included at the end of this chapter.

1 IAS 8, Accounting Policies, Changes in Accounting Estimates and Errors



Section overview

IAS 8 is intended to enhance:

- relevance
- faithful representation
- comparability

1.1 Introduction

The objective of IAS 8, *Accounting Policies, Changes in Accounting Estimates and Errors* is to prescribe the criteria for selecting and changing accounting policies, together with the accounting treatment and disclosure of changes in accounting policies, changes in accounting estimates and correction of errors. This enhances relevance, faithful representation and comparability. IAS 8 achieves this objective by ensuring that:

- information is available about the accounting policies adopted by different entities;
- different entities adopt a common approach to the distinction between a change in accounting policy and a change in an accounting estimate;
- the scope for accounting policy changes is constrained; and
- changes in accounting policies, changes in accounting estimates and corrections of errors are dealt with in a comparable manner by different entities.



Definition

Accounting policies: The specific principles, bases, conventions, rules and practices applied by an entity in preparing and presenting financial statements.

Accounting policies are normally developed by reference to the **applicable IFRS Standard or Interpretation** together with any relevant Implementation Guidance issued by the IASB. The exception to this is where the effect of applying the accounting policy set out in the IFRS Standard is immaterial.

Where there is no applicable IFRS Standard or Interpretation, management should use its judgement in developing an accounting policy ensuring that the resulting information is relevant and reliable. In practical terms management should refer to:

- the requirements and guidance in IFRS Standards/Interpretations dealing with similar and related issues; and
- the basic principles set down in the *Conceptual Framework*, for example, the recognition criteria and measurement concepts for assets, liabilities and expenses.

Management may also consider the most recent pronouncements of other standard setting bodies that use a similar conceptual framework to develop standards, other accounting literature and accepted industry practices if these do not conflict with the sources above.

1.2 Consistency of accounting policies

Once selected, accounting policies should be **applied consistently** for similar transactions, other events and conditions. The exception to this is where an IFRS Standard requires or allows

categorisation of items where different policies may be applied to each category.

The same accounting policies are usually adopted from period to period, to enhance comparability thereby allowing users to analyse trends over time in profit, cash flows and financial position.

Changes in accounting policy will therefore be rare and should only be made if the change:

- is required by an IFRS Standard; or
- will result in the financial statements providing reliable and more relevant information about the effects of transactions, other events or conditions on the entity's financial position, financial performance or cash flows (a voluntary change).

The standard highlights two types of event **which do not constitute changes in accounting policy**:

- adopting an accounting policy for a **new type of transaction** or event not dealt with previously by the entity; and
- adopting a **new accounting policy** for a transaction or event which has not occurred in the past or which was not material.

In the case of tangible non-current assets, if a policy of revaluation is adopted for the first time then this is treated, not as a change of accounting policy under IAS 8, but as a revaluation under IAS 16, *Property, Plant and Equipment* (see Chapter 5). The following paragraphs do not therefore apply to a change in policy to adopt the revaluation model.



Professional skills focus: Applying judgement

You will need to use professional scepticism in the exam (as well as in your working life) if a company is planning to change an accounting policy. Changes may, practically, occur if the business has recently been merged with another one that has different policies, in which case changes are justified. Be aware in particular of any change in accounting policy where financial results are significantly affected, especially where directors' bonuses or performance measures such as EPS may be affected.

1.3 Changes in accounting policy

A change in accounting policy **is applied retrospectively**.



Definition

Retrospective application: Applying a new accounting policy to transactions, other events and conditions as if that policy had always been applied.

In other words, the new policy is applied from the earliest date such transactions or events occurred. As a result of an accounting policy change in the current reporting period:

- comparative period amounts are restated in the financial statements; and
- if periods before the earliest comparative period presented are affected, an adjustment is made to retained earnings brought forward at the start of the earliest comparative period.

When an entity applies an accounting policy retrospectively or retrospectively restates or reclassifies items in its financial statements, IAS 1 requires a minimum of three statements of financial position ie, as at:

- the end of the current period;
- the end of the previous period (beginning of the current period); and
- the beginning of the earliest comparative period.

A change in the way an item is presented, such as now classifying depreciation charges as cost of sales instead of in administrative expenses **is a change in accounting policy**.

Although IAS 8 requires retrospective adjustment for changes in accounting policy it recognises that there may be circumstances where it is **impracticable** to determine the effect in a specific period or on a cumulative basis. Where this is the case the policy should be applied retrospectively to the earliest period for which it is practicable to do so.

In the **rare circumstance** where it is impracticable to restate retrospectively **any** financial results the new policy should be applied **prospectively**.



Definition

Prospective application of a change in accounting policy: Applying the new accounting policy to transactions, other events and conditions occurring after the date as at which the policy is changed.

1.4 Adoption of a new IFRS Standard

Where a new IFRS Standard is adopted, IAS 8 requires any transitional provisions in the new IFRS Standard itself to be followed. If none are given in the IFRS Standard which is being adopted, then the entity should follow the general principles of IAS 8.

1.5 Disclosure

Certain **disclosures** are required when a voluntary change in accounting policy has a **material** effect on the current period or any prior period presented, or when it may have a material effect in subsequent periods.

- nature of the change
- reasons for the change (why more reliable and relevant)
- amount of the adjustment for the current period and for each prior period presented for each line item
- amount of the adjustment relating to periods before those included in the comparative information
- the fact that comparative information has been restated or that it is impracticable to do so

An entity should also disclose information relevant to assessing the **impact of new IFRS Standards** on the financial statements where these have **not yet been adopted**.

1.6 Accounting estimates



Definition

Change in accounting estimate: An adjustment to the carrying amount of an asset or a liability or the amount of the periodic consumption of an asset, that results from the assessment of the present status of, and expected future benefits and obligations associated with, assets and liabilities.

Changes in accounting estimates result from new information or new developments and, accordingly, are not corrections of errors.

Estimates arise in relation to business activities because of the **uncertainties inherent within them**. Judgements are made based on the latest available, reliable information. The use of such estimates is a necessary part of the preparation of financial statements and does **not** undermine their reliability. Here are some examples of accounting estimates:

- an allowance for receivables
- useful lives of depreciable assets
- adjustment for obsolescence of inventory
- estimates of liability under standard warranty obligations

1.7 Accounting treatment

The rule here is that the **effect of a change in an accounting estimate** should be included in the determination of net profit or loss in:

- the period of the change, if the change affects that period only; or
- the period of the change **and** future periods, if the change affects both.

Changes may occur in the circumstances which were in force at the time the estimate was calculated, or perhaps additional information or subsequent developments have come to light.

An example of a change in accounting estimate which affects only the **current period** is the irrecoverable debt allowance. However, a revision in the life over which an asset is depreciated would affect both the **current and future periods**, via the amount of the depreciation expense.

The effect of a change in an accounting estimate should be included in the **same revenue or expense classification** as was used previously for the estimate. This rule helps to ensure **consistency** between the financial statements of different periods.

The effect of a change in an accounting estimate is to be recognised **prospectively**.

1.8 Disclosure

Where a change in an accounting estimate has a **material effect** in the current period (or which is expected to have a material effect in subsequent periods) the following should be disclosed:

- nature of the change in accounting estimate
- amount of change (if impracticable to estimate, this fact should be disclosed)



Context example: Change in accounting estimate

Taking the example of a machine tool with an original cost of CU100,000, an originally estimated useful life of 10 years and an originally estimated residual value of CUnil, the annual straight line depreciation charge will be CU10,000 pa and the carrying amount after three years will be CU70,000. If at the start of the fourth year it is decided that as a result of changes in market conditions the remaining useful life is only three years (so a total of six years), then the depreciation charge in that year (and in the next two years) will be the carrying amount brought forward ÷ the revised remaining useful life, so $CU70,000 \div 3 = CU23,333$. There is no question of going back to restate the depreciation charge for the past three years.

The effect of the change (in this case an increase in the annual depreciation charge from CU10,000 to CU23,333) in the current year and the next two years must be disclosed.

1.9 Changes in policy versus changes in estimate

It can be difficult sometimes to distinguish between changes in accounting policies and changes in accounting estimates.

When there is doubt as to which type of change it is, IAS 8 requires it to be treated as a **change in accounting estimate**.

1.10 Prior period errors

Errors may be discovered during a current period which **relate to a prior period**.

If **immaterial**, these errors can be **corrected through net profit or loss for the current period**. Where they are **material prior period errors**, however, this is **not appropriate**.



Definition

Prior period errors: Are omissions from, and misstatements in, the entity's financial statements for one or more prior periods arising from a failure to use, or misuse of, reliable information that:

- was available when financial statements for those periods were authorised for issue; and
- could reasonably be expected to have been obtained and taken into account in the preparation and presentation of those financial statements.

Such errors include the effects of mathematical mistakes, mistakes in applying accounting policies, oversights or misinterpretations of facts, and fraud.

1.11 Accounting treatment

Material prior period errors should be corrected **retrospectively**.



Definition

Retrospective restatement: Correcting the recognition, measurement and disclosure of amounts of elements of financial statements as if a prior period error had never occurred.

This involves:

- either restating the comparative amounts for the prior period(s) in which the error occurred; or
- if the error occurred before the earliest prior period presented, restating the opening balances of assets, liabilities and equity for the earliest prior period presented, so that the financial statements are presented **as if the error had never occurred**.

Only where it is **impracticable** to determine the cumulative effect of an error on prior periods can an entity correct a prior period error **prospectively**.



Worked example: Correction of prior period error

In the course of preparing its draft financial statements for the current year ended 31 December 20X8, Mufti Ltd discovered that items valued at CU2.1 million which were included in inventory at 31 December 20X6 had in fact been sold before that year end. Retained earnings at 31 December 20X6 were reported as CU9,638,000. Cost of sales reported in the year ended 31 December 20X7 includes the CU2.1 million error in opening inventory. The statement of profit or loss as reported for the 20X7 comparative period, before correction of the error, is as follows:

	20X7
	CU
Revenue	33,600,000
Cost of sales	<u>(27,900,000)</u>
Gross profit	5,700,000
Expenses	<u>(1,617,000)</u>
Profit before tax	4,083,000
Income tax expense	<u>(1,225,000)</u>
Profit for the year	<u>2,858,000</u>

Requirement

Prepare the corrected statement of profit or loss for the year to 31 December 20X7 and the corrected retained earnings extract from the statement of changes in equity. Ignore any effect on taxation.

Solution

The error arose in 20X6, which is before the earliest period presented and therefore a prior period adjustment is required in the 20X7 SOCE. This adjustment reduces the brought forward retained earnings balance at 1.1.X7 by CU2.1 million to reflect the fact that 20X6 reported profits were overstated by CU2.1 million.

Since the error relates to 20X6 closing inventories, it is carried through to also become an error in the 20X7 financial statements (where the incorrect balance is opening inventories within COS).

Therefore, the 20X7 statement of profit or loss is also restated to reduce cost of sales by CU2.1 million, with the effect that reported profit for the year is CU2.1 million higher.

Statement of profit or loss

	20X7 (restated) CU
Revenue	33,600,000
Cost of sales (27,900 – 2,100)	(25,800,000)
Gross profit	7,800,000
Expenses	(1,617,000)
Profit before tax	6,183,000
Income tax expense	(1,225,000)
Profit for the year	4,958,000

Statement of changes in equity (extract)

	Retained earnings CU
Balance at 1 January 20X7	9,638,000
Correction of prior period error	(2,100,000)
Restated balance	7,538,000
Total comprehensive income for the year	4,958,000
Balance at 31 December 20X7	<u>12,496,000</u>

Notes

- 1 The 20X8 statement of profit or loss is unaffected; the 20X8 statement of changes in equity reports a brought forward retained earnings balance of CU12,496,000.
- 2 Had the error related to inventory at 31 December 20X7, it would have been corrected through restating the 20X7 comparative figures. No prior period adjustment to retained earnings would have been required.

- 3 In the *Financial Accounting and Reporting* exam, comparative figures are not usually presented or prepared. Therefore, in an exam question, for simplicity, a correction for a prior period error will be shown as an adjustment to opening retained earnings in the current year statement of changes in equity.

1.12 Disclosures

Various **disclosures** are required:

- **nature** of the prior period error;
- for each prior period, to the extent practicable, the **amount** of the correction for each financial statement line item affected;
- the amount of the correction at the **beginning of the earliest prior period** presented; and
- if **retrospective restatement is impracticable** for a particular prior period, the **circumstances** that led to the existence of that condition and a description of how and from when the error has been corrected.

Subsequent periods need not repeat these disclosures.



Professional skills focus: Applying judgement

IAS 8 requires the directors to select and apply the most appropriate accounting policy for their entity, and any changes must be justified. Changes cannot be made just so that the profit for that year will meet targets or maximise bonuses payable to directors. When faced with a question in which management suggest a change in accounting policy, you should be alert to the ethical risks that the change is being made for the purposes of manipulating the financial statements.

2 IFRS 5, Non-current Assets Held for Sale and Discontinued Operations



Section overview

The results of discontinued operations should be presented separately in the statement of profit or loss.

2.1 The problem

The ability to predict the future performance of an entity is hampered when the financial statements include activities which as a result of sale or closure will not continue into the future. While figures inclusive of those activities are a fair measure of past performance, they do not form a good basis for predicting the future cash flows, earnings-generating capacity and financial position. Separating out the results of discontinued activities benefits users of financial statements but leads to difficulties in defining such operations and in deciding when a discontinuance comes about. This problem is addressed by IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*.

2.2 The objectives of IFRS 5 regarding discontinued operations

Part of IFRS 5 is designed to deal with the problem by requiring entities to present in the statement of profit or loss and statement of cash flows the results of discontinued operations separately from those of continuing operations. This chapter only deals with discontinued operations and its presentation and disclosure requirements; non-current assets held for sale are covered in Chapter 4.

There are two parts of the Chapter 4 coverage which are relevant to the disclosure rules dealt with in this chapter:

- The key criterion for the classification of a non-current asset as held for sale is that it is highly probable that it will be finally sold within **12 months of classification**.
- A non-current asset held for sale is measured at the **lower of carrying amount and fair value less costs to sell**. The effect is that if fair value less costs to sell is lower than the carrying amount of the asset, then the loss is recognised at the time the decision is made to dispose of the asset, not when the disposal actually takes place.

2.3 Discontinued operations



Definitions

Discontinued operation: A component of an entity that has either been disposed of, or is classified as held for sale, and:

- represents a separate major line of business or geographical area of operations;
- is part of a single co-ordinated plan to dispose of a separate major line of business or geographical area of operations; or
- is a subsidiary acquired exclusively with a view to resale.

Component of an entity: Operations and cash flows that can be clearly distinguished, operationally and for financial reporting purposes, from the rest of the entity.

As already noted, the separation of information about discontinued activities benefits users of financial statements by providing them with information about continuing operations which they can use as the basis for predicting the future cash flows, earnings-generating capacity and financial position. Management is therefore faced with the temptation to classify continuing, but underperforming, operations as discontinued, so that their performance does not act as a drag on the figures used as a basis for future predictions. This is why the definition of a discontinued operation is so important, but applying that definition requires difficult **judgements**.

Consider the following:

- The abrupt cessation of several products within an ongoing line of business: presumably a line of business must be defined by reference to the requirement in the definition for a component to be 'distinguished operationally and for financial reporting purposes'. But how many products have to be stopped before the line of business itself is stopped?
- Selling a subsidiary whose activities are similar to those of other group companies: how should 'similar' be defined?

2.4 When does an operation become discontinued?

IFRS 5 defines a discontinued operation as a component of the entity which:

- **has been disposed of**. In this case, the separate presentation will first be made in the accounting period in which the disposal takes place; or
- **is held for sale**. In this case the separate presentation will first be made in the accounting

period in which the decision to dispose of it is made, provided that it is highly probable that it will be **sold within 12 months of classification**.

If a business decides to discontinue operations and the non-current assets supporting these operations are to be abandoned (so scrapped or just closed down) rather than sold, the carrying amount of the assets will not be recovered principally through sale. These assets cannot therefore be classified as held for sale. As a result, these operations should not be disclosed as discontinued until the underlying assets cease to be used.

Note: Operations supported by assets which become idle because they are temporarily taken out of use may not be described as discontinued. This includes, for example, assets that are mothballed and may be brought back into use if market conditions improve.

2.5 Disclosing discontinued operations: statement of profit or loss and statement of cash flows

An entity should disclose a **single amount in the statement of profit or loss** comprising the total of:

- the post-tax profit or loss of discontinued operations; and
- the post-tax gain or loss recognised on the measurement to fair value less costs to sell or on the disposal of the assets constituting the discontinued operation.

An entity should also **disclose an analysis of this single amount** into:

- the revenue, expenses and pre-tax profit or loss of discontinued operations;
- the related income tax expense;
- the gain or loss recognised on measurement to fair value less costs to sell or on disposal of the assets constituting the discontinued operation; and
- the related income tax expense.

This analysis may be presented either:

- in the statement of profit or loss; or
- in the notes.

If the analysis is presented in the statement of profit or loss, it should be presented in a section identified as relating to discontinued operations ie, separately from continuing operations. (This analysis is not required where the discontinued operation is a newly acquired subsidiary that has been classified as held for sale.)

The disclosure of discontinued operations adopted in these learning materials is in line with Example 11 in the IFRS 5 Implementation Guidance. The main part of the statement of profit or loss is described as 'continuing operations', with the single amount in respect of 'discontinued operations' being brought in just above 'profit/(loss) for the year'.

XYZ plc - Statement of profit or loss for the year ended [date]

	CUm
Continuing operations	
Revenue	X
Cost of sales	(X)
...	...
...	...
Share of profits/(losses) of associates	X
Profit/(loss) before tax	X
Income tax expense	(X)

Profit/(loss) for the year from continuing operations	X	Discontinued operations (Note Y)
Profit/(loss) for the year from discontinued operations		(X)
Profit/(loss) for the year		X

Note Y - Discontinued operation

During the year the company disposed of its textile division. Amounts attributable to the division for 20X9 were as follows:

	CUm
Revenue	X
Expenses	(X)
Pre-tax profit	X
Income tax expense	(X)
	X
Loss recognised on disposal of non-current assets	(X)
Income tax	X
	(X)

In the **statement of cash flows** an entity should disclose the net cash flows attributable to the:

- operating;
- investing; and
- financing activities of discontinued operations.

These disclosures may be presented either in the statement of cash flows or in the **notes**.

- 1 The results and cash flows for any prior periods shown as comparative figures must be restated to be consistent with the continuing/discontinued classification in the current period. As an example, operations discontinued in the year ended 31 December 20X7 will have been presented as continuing in the 20X6 financial statements but will be represented as discontinued in the 20X6 comparative figures included in the 20X7 financial statements.
- 2 Some narrative descriptions are also required. Although this part of IFRS 5 does not specifically mention discontinued operations, it includes them through its requirement for these narratives in respect of non-current assets disposed of or classified as held for sale; many discontinued operations will include such non-current assets.
- 3 If in the current period there are adjustments to be made to operations discontinued in prior periods, their effect must be shown separately from the figures for operations discontinued in the current period.
- 4 If a part of the business is discontinued but it does not meet the criteria for a discontinued operation (ie, it cannot be clearly distinguished), then its results must be included in those from continuing operations.

2.6 Link with other IFRS Standards

As has already been noted, the part of IFRS 5 dealt with in this chapter is concerned purely with disclosure, not about recognition or measurement. But a decision to discontinue an operation would normally require management to immediately consider the recognition and measurement requirements of:

- IAS 36, *Impairment of Assets* (dealt with in Chapter 4) which may require an immediate reduction in the carrying amount of non-current assets; and

- IAS 37, *Provisions, Contingent Liabilities and Contingent Assets* (dealt with in Chapter 9) which may require the recognition of provisions for reorganisation and restructuring costs.

It is also the case that, even if a component being disposed of or abandoned has to be treated as a continuing operation (because it does not meet all of the conditions for being classified as a discontinued operation), management should still consider whether the requirements of IAS 36 and IAS 37, together with that of IAS 1 (dealt with in Chapter 2) to make separate disclosure of 'exceptional' items, should be applied to that continuing operation.



Worked example: Business closure

On 20 October 20X7 the directors of company made a public announcement of plans to close its steel works, which is one of its business operations. The closure means that the company will no longer carry out this type of operation, which until recently has represented about 10% of its total revenue. The works will be gradually shut down over a period of several months, with complete closure expected in July 20X8. At 31 December 20X7 output had been significantly reduced and some redundancies had already taken place. The cash flows, revenues and expenses relating to the steel works can be clearly distinguished from those of the company's other operations.

Requirement

How should the closure be treated in the financial statements for the year ended 31 December 20X7?

Solution

Although at 31 December 20X7 the company was firmly committed to the closure, this has not yet taken place. In addition, as the steel works is being closed rather than sold, the assets cannot be classified as held for sale and therefore the steel works must be included in continuing operations. Information about the planned closure should be disclosed in the notes to the financial statements.



Interactive question 1: Discontinued operation

The statement of profit or loss for Grey plc for the year ended 31 December 20X7 is as follows:

	CU
Revenue	300,000
Cost of sales	(100,000)
Gross profit	200,000
Distribution costs	(40,000)
Administrative expenses	(90,000)
Profit before tax	70,000
Income tax expense	(21,000)
Profit for the year	49,000

On 30 September 20X7 Grey plc classified a manufacturing division as held for sale. It satisfies the definition of a discontinued operation in accordance with IFRS 5.

The results of the division are as follows:

	CU
Revenue	32,000
Cost of sales	(15,000)
Distribution costs	(12,000)
Administrative expenses	(10,000)

These balances have been included in the statement of profit or loss of Grey plc above.

Requirement

Show how the discontinued operation would be treated in Grey plc's statement of profit or loss.

See **Answer** at the end of this chapter.

3 IAS 21, The Effects of Changes in Foreign Exchange Rates



Section overview

- Exchange gains and losses arise when there is a change in the exchange rate that is applied on initial recognition and on settlement/retranslation of a transaction carried out in a foreign currency.
- At the end of a reporting period, monetary foreign currency assets and liabilities must be retranslated into the local or 'functional' currency of the reporting entity.

3.1 The issue

If a company trades internationally, it will buy or sell goods and services in foreign currencies. For example, an Indian company might buy materials from Canada and pay for them in Canadian dollars, and then sell its finished goods in Germany, receiving payment in Euros. If the company owes money in a foreign currency at the end of the accounting period is owed amounts due to be settled in a foreign currency, those (monetary) liabilities or assets must be translated into the local currency (in this Workbook CU), in order to be shown in the accounting records.

If foreign currency exchange rates remained constant, there would be no exchange differences. As you will be aware, however, foreign exchange rates are continually changing, and it is not inconceivable, for example, that the rate of exchange between the Euro and sterling might be €1.4 to CU1 at the start of the accounting year, and €1.2 to CU1 at the end of the year (in this example, a 17% increase in the relative strength of the Euro).

3.2 Definitions

These are some of the definitions given by IAS 21.



Definitions

Foreign currency: A currency other than the functional currency of the entity.

Functional currency: The currency of the primary economic environment in which the entity operates.

Exchange rate: The ratio of exchange for two currencies.

Exchange difference: The difference resulting from translating a given number of units of one currency into another currency at different exchange rates.

Closing rate: The spot exchange rate at the end of the reporting period.

Spot exchange rate: The exchange rate for immediate delivery.

Presentation currency: The currency in which the financial statements are presented.

Monetary items: Units of currency held and assets and liabilities to be received or paid in a fixed or determinable number of units of currency. (IAS 21: para 8)

For most individual companies the functional currency will be the currency of the country in which they are located and in which they carry out most of their transactions.

3.3 Foreign currency transactions: initial recognition

IAS 21 states that a foreign currency transaction should be recorded in the functional currency at initial recognition by applying the exchange rate between the reporting currency and the foreign currency at the date of the transaction, known as the spot rate. (IAS 21: para 21)

An **average rate** for a period may be used if exchange rates do not fluctuate significantly during the period. (IAS 21: para 22)



Worked example: Brianco Ltd - Initial recognition

Brianco Ltd's functional currency is the CU.

Brianco Ltd buys a large consignment of goods from a supplier in Germany. The order is placed and the goods are delivered on 1 May. The agreed price is €127,875. At the time of delivery, the exchange rate was €1.50 to CU1.

Requirement

Prepare the journal entry to record the initial transaction in the accounting records.

Solution

Brianco Ltd would record the purchase at the spot rate at the date of the transaction in its accounts as follows:

	CU	CU
DR Purchases ($€127,875 \div 1.50$)	85,250	
CR Trade payables		85,250

3.4 Exchange gains and losses

There may be a period of time between the initial recognition of a transaction and the payment of the invoice. It is therefore highly likely that the exchange rate will have changed during that time, resulting in a difference between the amount at which the transaction was initially recorded and the actual amount of cash that is paid (or received). This difference is the **exchange gain or loss on the transaction**.



Worked example: Brianco Ltd - Calculating and recording exchange gains or losses

Following the Brianco Ltd worked example above, Brianco Ltd pays the supplier on 1 June when the exchange rate is €1.55 to CU1.

Requirement

Prepare the journal entry to account for the payment of the invoice.

Solution

Brianco Ltd will need to pay CU82,500 ($€127,875 \div 1.55$) to settle the invoice 'costing' CU85,250. Brianco Ltd would therefore record a gain on exchange of CU2,750 in profit or loss for the period.

	CU	CU
DR Trade payables	85,250	
CR Cash		82,500
CR Exchange gain (SPL)		2,750

An exchange gain or loss is recognised in profit or loss for the year in which they arise.

3.5 Retranslation of monetary assets and liabilities

We have looked at the accounting for the initial transaction and any gain or loss on the settlement of the invoice. However, IAS 21 also requires that an exchange gain or loss is recognised on **monetary assets** and **monetary liabilities** that are retranslated at the exchange rate pertaining at the date of the statement of financial position (the closing rate).

Retranslation is required at the end of an accounting period when a company still holds monetary assets or liabilities in its statement of financial position which were obtained or incurred in a foreign currency.

Monetary items are the rights to receive (or an obligation to deliver in the case of liabilities) cash.

Non-monetary items are assets, such as inventory and non-current assets.

Note that no amounts are being converted into foreign currency on retranslation and therefore there is no cash flow associated with the retranslation of monetary assets and liabilities. It is purely a year- end calculation.



Interactive question 2: Exchange rate movements

Watford Ltd, a company whose functional currency is the CU, entered into the following foreign currency transactions.

31 October 20X8 - Purchased goods from Mexico SA for 129,000 Mexican pesos 31 December

20X8 - Mexico SA has not yet been paid

31 January 20X9 - Payment made to Mexico SA The exchange rates are as follows.

	Pesos to CU1
31 October 20X8	9.5
31 December 20X8	10
31 January 20X9	9.7

Requirement

Show how this transaction would be recorded in the accounting records of Watford Ltd during the years ended 31 December 20X8 and 20X9.

See **Answer** at the end of this chapter.

3.6 Non-monetary assets and liabilities

Non-monetary items which are purchased in a foreign currency and are subsequently carried at historical cost are translated using the exchange rate at the date of the transaction (historical rate) and are not retranslated.

Non-monetary items which are purchase in a foreign currency and are subsequently carried at fair value are translated using the exchange rates that existed when the values were measured. There is no requirement to separate the revaluation from the exchange gains or losses. If fair value movements on non-monetary items are presented in other comprehensive income (such as the revaluation surplus on property, plant and equipment accounted for under the revaluation model in IAS 16), any gain or loss on the translation of those non-monetary assets will also be presented in other comprehensive income (IAS 21: para 30).

4 IAS 24, *Related Party Disclosures*



Section overview

- Disclosure is required of the nature of any related party relationships, of any transactions between such parties and any balances outstanding at the end of the period.
- There are a number of ways in which one party may be related to another.
- The relationship between an entity and its parent and subsidiaries should be disclosed regardless of whether any transactions have taken place between them.
- An entity is required to disclose the name of its parent and, if different, that of the ultimate controlling party.
- An entity should disclose the salary and other compensation of key management personnel in total together with an analysis of this balance.

4.1 Introduction

The normal assumption is that directors of companies attempt to promote the interests of shareholders in their dealings with other entities. As a result, **transactions are normally assumed to take place at arm's length values.**

However, companies are made up of a variety of stakeholders with different interests and incentives, which in some cases may lead to **a conflict of interest.** Examples might include:

- transactions between companies under **common control** (for example a parent and a subsidiary)
- transactions between the company and its directors

The two parties to the transactions referred to above are said to be related to each other and the transactions between them to be related party transactions.

In these circumstances the normal rules of commercial arrangements **may not** apply and as a result:

- the reported performance of the entity **may** be distorted; and
- directors **may** face conflicting incentives.

IAS 24 enhances transparency by requiring **disclosure** to shareholders of these relationships and the transactions stemming from them.

Note: IAS 24 **does not** require any disclosures about whether related party transactions were carried out at prices other than open market prices.

4.2 Objective

The key emphasis of IAS 24 is **appropriate disclosure**. It aims to ensure that an entity's financial statements contain the disclosures necessary to draw attention to the possibility that its position and results may have been affected by the existence of related parties and transactions with them.

Related party transactions are, however, a normal feature of commerce and business, so IAS 24 does not attempt to prevent such relationships or to require any adjustments to the values of related party transactions carried out at non-market prices.

4.3 Scope

IAS 24 should be applied in:

- identifying **related party relationships and transactions**;
- identifying **outstanding balances** between an entity and its related parties;
- identifying circumstances in which **disclosure** of the items in (a) and (b) is required; and
- determining the disclosures to be made** about those items.

IAS 24 is relevant to all financial statements. It requires disclosure of related party relationships, transactions and outstanding balances in the consolidated financial statements and also in the separate financial statements of:

- a parent
- a venturer in a joint venture
- an investor in an associated entity

Related party transactions and outstanding balances with other entities in a group are disclosed in an **individual entity's financial statements**.

Intra-group related party transactions and outstanding balances **are eliminated on consolidation in the financial statements of the group** and are not disclosed.

Note: On many occasions IAS 24 uses the phrase 'outstanding balances, including commitments', commitments meaning undertakings to do something if a particular event occurs or does not occur in the future. In these notes this phrase has been shortened to 'outstanding balances'.

4.4 Identifying related parties

This depends on a number of key definitions in IAS 24.



Definition

Related party: A person or entity that is related to the entity preparing its financial statements (the reporting entity).

- A person or a close member of that person's family (see definition below) is related to a reporting entity if that person:
 - has control or joint control over the reporting entity;

- (2) has significant influence over the reporting entity; or
 - (3) is a member of the key management personnel (see definition below) of the reporting entity or of a parent of the reporting entity.
- (b) An entity is related to a reporting entity if any of the following conditions applies:
- (1) The entity and the reporting entity are members of the same group.
 - (2) One entity is an associate or joint venture of the other entity (or of a member of the group of which the other entity is a member).
 - (3) Both entities are joint ventures of the same third party.
 - (4) One entity is a joint venture of a third entity and the other entity is an associate of the third entity.
 - (5) The entity is a post-employment benefit plan for the benefit of employees of either the reporting entity or of an entity related to the reporting entity.
 - (6) The entity is controlled or jointly controlled by a person identified in (a) above.
 - (7) A person identified in (a) above has significant influence over the entity or is a member of the key management personnel (see definition below) of the entity or of a parent of the entity.
 - (8) The entity, or any member of a group of which it is a part, provides key management personnel services to the reporting entity or to the parent of the reporting entity.

Note: The definitions of a related party treat control and joint control differently from significant influence. So fellow subsidiaries and fellow joint ventures are related parties of each other under definitions (b)(1) and (b)(3) respectively, but if the same investor has significant influence over two associates, those associates are not related parties of each other.



Definitions

Close members of the family of a person: Those family members who may be expected to influence, or be influenced by, that person in their dealings with the entity. These include:

- that person's children and spouse or domestic partner;
- children of that person's spouse or domestic partner; and
- dependants of that person or that person's spouse or domestic partner.

Key management personnel: Those persons having authority and responsibility for planning, directing and controlling the activities of the entity, directly or indirectly, including any director (whether executive or otherwise) of that entity.

Notes

- 1 Control is defined as the power to govern the financial and operating policies of an entity so as to obtain benefits from its activities.
- 2 Joint control is defined as the contractually agreed sharing of control over an economic activity.
- 3 Significant influence is defined as the power to participate in the financial and operating policy decisions of an entity, but not to control those policies. Significant influence may be gained by share ownership, statute or agreement.

4.5 Application of substance over form

Under IAS 24 attention should be directed to the **substance** of the relationship rather than focusing on its legal form. For example, the following **are not related parties**:

- Two entities **simply because they have a director** (or other member of key management personnel) **in common**, or because a member of key management personnel of one entity has significant influence over the other entity
- Two venturers **simply because they share joint control over a joint venture**
- Providers of finance, trade unions, public utilities and government departments and agencies of a government that does not control, jointly control or significantly influence the reporting entity **simply by virtue of their normal dealings with an entity**
- A customer, supplier, franchisor, distributor, or general agent, with whom an entity transacts a significant volume of business, **simply by virtue of the resulting economic dependence**



Context example: Related parties

Scenario 1	Person A owns 30% of Entity B and Entity C owns 40% of Entity B. Entity B is the reporting entity: Person A is a related party under definition (a)(2) and Entity C is a related party under definition (b)(2). Entity C is the reporting entity: Entity B is a related party under definition (b)(2).
Scenario 2	Person A and Entity B have joint control over Entity C. Entity B is the reporting entity: Entity C is a related party under definition (b)(2). Entity C is the reporting entity: Person A is a related party under definition (a)(1) and Entity B is a related party under definition (b)(2).
Scenario 3	Person A is a non-executive director of Entity B. Entity B is the reporting entity: Person A falls within the definition of Entity B's key management personnel and is a related party under definition (a)(3).
Scenario 4	Person A owns 70% of Entity B and is a director of Entity C. Entity B is the reporting entity: Person A is a related party under definition (a)(1) and Entity C is a related party under definition (b)(7). Entity C is the reporting entity: Person A falls within the definition of Entity C's key management personnel and is a related party under definition (b)(3). Entity B is a related party under definition (b)(6).

4.6 Related party transactions



Definition

Related party transaction: A transfer of resources, services or obligations between a reporting entity and a related party, regardless of whether a price is charged.

Note that this definition covers **any transaction that occurs between a reporting entity and a related party**.

- It is common practice for a reporting entity's employees to receive goods or services at reduced prices or for free. If the employees fall within the definition of the reporting entity's key management personnel, they will be related parties and the entity should disclose these transactions.
- Even if every transaction with a related party takes place at the full arm's length price, the reporting entity should disclose them.

IAS 24 is based on the principle that **it is the identification of the related party relationship that triggers the disclosure requirements**.

Examples of transactions which could be disclosed include:

- **Transfers of resources for which no charge is made**

It is common for parent companies not to make a charge for some services, such as for management services provided to a subsidiary. In practice, **it is very difficult to identify transactions for which there is no charge at all**; there is nothing for accounting systems to capture, so there is no easy place to go looking for the relevant information.

- **Transfers of resources for which an artificial charge is made**

An example of an artificial charge would be where, under instructions from the parent, **sales between group companies are at above, or below, open market prices**.

- **Transfers of resources made at full, open market, prices (that is arm's length prices)**

The reason for including these is that even if in the current year such transfers are made for full consideration, the related party relationship means that in a future year they might not be. Also, **the related party relationship itself is important information to users** in understanding the motivation of the relevant parties in the context of corporate governance.

Disclosures that related party transactions were made on terms equivalent to those that prevail in arm's length transactions should be made **only if such terms can be substantiated**.

4.7 Disclosures

- **Disclosure is always required of the related party relationship between a parent and a subsidiary**, irrespective of whether there have been any transactions between the entities.

Disclosure is required of the parent's name and, if different, the name of the ultimate controlling party.

If the financial statements of the parent or ultimate controlling party are not publicly available, the entity is required to identify the next most senior parent in the group that does produce financial statements that are available to the general public.

Note: The reason this relationship must be disclosed even if there have not been any such transactions in the current period, is that the control held by the parent means that there could be such transactions in future periods, if the parent decided this was appropriate.

- **Disclosure is always required of compensation**, being the consideration in exchange for their services, received by **key management personnel** in total and for each of the following five categories:

Category	Example
Short-term employee benefits	Salary and holiday pay
Post-employment benefits	Pensions
Other long-term benefits	Long-service awards or sabbatical leave
Termination benefits	Redundancy pay
Share-based payments	Shares and share options

- **Disclosures required only if there have been related party transactions during the period:**

- the nature of the relationships (but remember this must always be disclosed in respect of a parent)
- the amount of the transactions
- the amount of any balances outstanding at the year end
- the terms and conditions attaching to any outstanding balance (for example, whether security has been provided and what form the payment will take)
- details of any guarantees given or received
- any allowance against any outstanding balances and the expense recognised in the period for irrecoverable or doubtful debts due from related parties

These disclosures should be made separately for different categories of related parties, although items of a similar nature may be disclosed together. Where aggregation results in key information necessary to understand the effect of the transactions on the financial statements being unavailable, separate disclosure should be made.

The different categories for which separate disclosures are required are identified as:

- the **parent**
- entities with **joint control** or **significant influence** over the entity
- **subsidiaries**
- **associates**
- **joint ventures** in which the entity is a **venturer** (see Chapter 13)
- **key management personnel** of the entity or its parent
- **other related parties**

Although information is required about the nature of related parties, there is no requirement to identify them by name.

- **Disclosure** of the fact that transactions were on an **arm's length basis** is **only permitted if the terms can be substantiated**.

This disclosure may be made only if such terms can be substantiated.

Notes

- 1 IAS 1, *Presentation of Financial Statements* states that an entity need not provide specific disclosure required by an IFRS Standard if the information resulting from that disclosure is **not material** (IAS 1: para 31). IFRS Practice Statement 2 *Making Materiality Judgements* makes clear that this principle applies to the related party disclosures required by IAS 24. An entity must assess whether the information resulting from disclosure of a related party transaction is material, if it is not, the disclosure does not need to be made.
- 2 You will not be required to make materiality judgements in the *Financial Accounting and Reporting* exam. You should assume related party transactions are material unless you are told otherwise.



Professional skills focus: Applying judgement

Determining whether a related party transaction should be disclosed is a matter of judgement for the preparer of the financial statements. They must consider whether the information is material ie, whether omitting, misstating or obscuring the information could reasonably be expected to influence the decisions of primary users of the financial statements. In making this judgement, the preparer should consider both quantitative and qualitative factors, such as

whether the entity would have entered into such a transaction had it not been with a related party.

Consider the following related party disclosure note from the notes to the financial statements of Marks & Spencer for the year ended 3 April 2021:



Context example: Related party disclosure

28 RELATED PARTY TRANSACTIONS

A. Subsidiaries

Transactions between the Company and its subsidiaries, which are related parties, have been eliminated on consolidation and are not disclosed in this note. Transactions between the Company and its subsidiaries are disclosed in the Company's separate financial statements.

B. Joint ventures and associates

A shareholder loan facility with Ocado Retail Limited was established in the prior year, with Ocado Retail Limited having the ability to draw down up to CU30m from each shareholder. The facility was not utilised by Ocado Retail Limited during the year ended 3 April 2021 (last year: not utilised).

As part of the Ocado Retail Limited investment, Ocado Retail Limited entered into a CU30m, three-year revolving credit facility. Along with Ocado Group Plc, the Group has provided a parent guarantee to cover 50% of the CU30m revolving credit facility provided by BNPP to Ocado Retail Limited. The revolving credit facility was undrawn at 3 April 2021 (last year: undrawn).

The following transactions were carried out with Ocado Retail Limited, an associate of the Group. Sales and purchases of goods and services:

	2021 Cum	2020 Cum
Sales of goods and services	28.5	-
Purchases of goods and services	-	-

Included within trade and other receivables is a balance of CU2.3m (last year: CUnil) owed by Ocado Retail Limited.

C. Marks & Spencer Bangladesh Pension Scheme

Details of other transactions and balances held with the Marks & Spencer Bangladesh Pension Scheme are set out in notes 11 and 12.

D. Key management compensation

The Group has determined that the key management personnel constitute the Board and the members of the Executive Committee.

	2021 Cum	2020 Cum
Salaries and short-term benefits	8.6	5.9
Share-based payments	3.2	1.7
Total	11.8	7.6

Note the following important features of the disclosure note:

- As these are consolidated financial statements, transactions and balances with subsidiaries are not disclosed as they are eliminated on consolidation. This will be covered in detail in Chapters 10–12. The transactions with subsidiaries would be included in the separate financial statements of the parent.
- The associate is identified by name and the amount of transactions and balances owed by the associate are disclosed.
- Transactions with key management personnel are disclosed in total.

4.8 Examples

The following are **examples of transactions that are disclosed** if they are **with a related party**:

- purchases or sales of goods (finished or unfinished)
- purchases or sales of property and other assets
- rendering or receiving of services
- leases
- transfers of research and development
- transfers under licence agreements
- transfers under finance arrangements
- provision of guarantees or collateral
- commitments to do something if a particular event occurs or does not occur in the future
- settlement of liabilities on behalf of the entity, or by the entity on behalf of another party



Interactive question 3: Related party disclosures

Pinot is a company that complies with the minimum requirements of IAS 24.

Explain whether related party relationships exist and what disclosures, if any, would be required by IAS 24 in the current year financial statements of Pinot, in respect of each of the following transactions.

Requirements

- 3.1 Pinot sells goods on credit to Chablis, which is a company owned by the daughter of Mr Grigio. Mr Grigio is a director of Pinot. At the year end, there was a trade receivable of CU100,000 owing from Chablis to Pinot. It was decided to write off CU30,000 of this receivable and make full allowance against the remainder. Debt collection costs incurred by Pinot during the year were CU4,000.
- 3.2 During the year Pinot purchased goods from Merlot for CU600,000, which was deemed to be an arm's length price. Pinot owns 40% of the ordinary share capital of Merlot.
- 3.3 At the year-end an amount of CU90,000 was due to one of Pinot's distributor companies, Shiraz.
- 3.4 During the year a car owned by Pinot, with a carrying amount of CU20,000 and a market value of CU25,000, was sold to one of its directors, Mrs Barolo, for CU25,000. Pinot would have sold the car on the open market had it not made the sale to Mrs Barolo. Pinot has determined that the transaction is not material and therefore unlikely to influence the decisions of users of the financial statements.

See **Answer** at the end of this chapter.



Professional skills focus: Applying judgement

In practical terms the identification of related parties and the disclosure of transactions with them may not be straightforward. Reasons for this include the following:

- The application of the definitions of a related party can be **subjective** and will involve the use of **judgement**; for example, whether someone is a close member of the family of an individual.
- Transactions may be difficult to identify, particularly where **no consideration** has changed hands.
- Directors and key management may be **sensitive** to the disclosure of certain transactions; this increases the risk of deliberate concealment.
- **Quantitative materiality** issues are not necessarily relevant. In many cases the existence of the relationship is the issue rather than the amounts involved.

An accountant preparing financial statements must ensure that **all relevant information is made available to them** and that the statements comply with the requirements of IAS 24, irrespective of any other pressures being applied.

5 IAS 33, *Earnings per Share*



Section overview

- Basic earnings per share is calculated as the profit or loss attributable to the ordinary equity holders divided by the number of shares in issue.
- IAS 33 is only mandatory for listed entities.

5.1 Context

One of the most commonly used performance measures worldwide is basic earnings per share (EPS), which is calculated as the profit or loss attributable to the ordinary equity holders divided by the number of shares in issue.

In addition to being an important independent measure, it also is a component in the price earnings (P/E) ratio which often forms a pivotal role in the valuation of businesses. A meaningful comparison between entities, or against a benchmark figure, can only be made where entities measure their EPS figure on a consistent basis. IAS 33 prescribes what that consistent basis should be.

Standard EPS calculations assist in comparisons which are meaningful across entities, but they take account of all income and expenses that have been reported during the period, whether or not they are likely to recur in the future. These calculations provide a historical performance measure and do not purport to provide a measure of future performance. So entities frequently present alternative forms of EPS, based on income and expenses which have been adjusted to exclude non-recurring items; entities generally refer to the adjusted profit figure as 'maintainable earnings'. Industry or market standard EPS figures are also often reported. Both of these additional performance measures are claimed to provide a more realistic measure of the entity's performance in future periods.

Compliance with IAS 33 is mandatory in:

- the separate financial statements of entities whose ordinary shares are publicly traded or are in the process of being issued in public markets; and
- the consolidated financial statements of groups whose parent has shares similarly traded/being issued.

Other entities need not present EPS (because their shares are not traded, there is no readily available market price which can be used to calculate the P/E ratio), but if they do voluntarily, they should comply with IAS 33.

IAS 33 requires the EPS to be presented in the statement of profit or loss.

5.2 Calculation

The calculation for basic EPS is profit or loss divided by the number of shares in issue. The fully worded calculation is:

$$\frac{\text{Profit / (loss) attributable to ordinary equity holders of the parent}}{\text{Weighted average number of shares outstanding during the period}}$$

Shares are usually included in the weighted average number of shares from the date any consideration for them is receivable by the issuer. This is generally the date of their issue.

Note: The need for a weighted average number of shares is explained later in section 5.4

5.3 Calculating earnings

The earnings figure to be used is the profit or loss attributable to **the ordinary equity holders**. The statement of profit or loss presents the profit attributable to the **owners** of the entity. Usually this will be the amount attributable to ordinary equity holders, but in some cases a deduction should be made for the amount attributable to preference equity holders.

Whether such a deduction is needed depends upon the type of preference share:

- Redeemable preference shares are generally classified as liabilities and the finance charge relating to them (both dividend and any premium on redemption adjustment) should already have been recognised in profit or loss as part of finance charges. No adjustment is needed.
- Some irredeemable preference shares are classified as equity and the dividend is deducted in the statement of changes in equity. An adjustment is needed; the dividend should be deducted from the profit figure taken from the statement of profit or loss to arrive at the profit attributable to the ordinary equity holders.



Interactive question 4: Dividend on irredeemable preference shares presented as equity

	CUm
Profit for the period	2,177
Attributable to:	
Owners of the parent	1,897
Non-controlling interests	280
	<u>2,177</u>
Dividends presented in statement of changes in equity	
On irredeemable preference shares	400
On ordinary shares	600

The weighted average number of ordinary shares in issue is 6,241 million.

Requirement

Calculate the basic EPS.
Fill in the proforma below.

	CUm
Profit attributable to owners of the parent	
Less dividend on irredeemable preference shares	
Profit attributable to ordinary equity holders of the parent	
EPS	

See **Answer** at the end of this chapter.

5.3.1 Cumulative dividends on irredeemable preference shares presented as equity

If the dividends on such shares are cumulative, any dividend not paid in the current year (due, for example, to lack of distributable profits) will be payable in subsequent years when distributable profits become available. All such arrears need to be paid off before any ordinary share dividend is paid.

The **treatment of such cumulative dividends** for EPS purposes is as follows.

- If the dividend is not paid in the year, then it should still be deducted from profit.
- When the arrears of dividend is subsequently paid, it should be excluded from the EPS calculation.



Interactive question 5: Cumulative dividend on irredeemable preference shares presented as equity

	CUm
Profit for the period	88
Attributable to:	
Owners of the parent	82
Non-controlling interest	6
	88
Dividends presented in statement of changes in equity	
On irredeemable preference shares (Note)	20
On ordinary shares	5

Note: This figure includes CU15 million in respect of arrears of cumulative dividend not paid in previous years due to lack of distributable profits.

The weighted average number of ordinary shares is 1,200 million.

Requirement

Calculate the basic EPS.

See **Answer** at the end of this chapter.

5.4 Calculating the weighted average number of ordinary shares

If no additional shares have been issued during the year, or repurchased, there are no complications; the number of shares in issue at the start (or end) of the period is used.

If additional shares **have been issued** during the current period, the calculation of the weighted average number of shares depends upon whether:

- the resources of the entity have increased, for example an issue of shares for cash at full market price; and
- the resources of the entity have not changed, for example a bonus issue.

If shares are repurchased during the period (treasury shares), the weighted average number of shares will again depend on whether:

- the repurchase was at market price; and
- the repurchase was other than at market price.

5.5 Issue of shares for cash at full market price

Where shares are issued during the period for cash at full market price, the cash received is an **increase in the resources** of the entity. These additional resources will only have been available to increase earnings (the numerator in the EPS fraction) for part of the period, so the additional shares should only be included in the shares in issue (the denominator of the fraction) for part of the period. The number of new shares is 'weighted' for the proportion of the period they have been in issue.

Note: An issue of shares in an acquisition at market value is equivalent to an issue of shares for cash in these calculations.

The weighted average number of shares is calculated as follows:

- Start with the number of shares in issue **at the start of the year** and time-apportion it for the period **up to** the date the new shares were issued.
- Take the number of shares in issue **after** the new shares were issued and time-apportion it for the period **after** the date of issue.
- The total of these two is the weighted average number of shares in issue over the year.



Worked example: Issue of shares for cash at full market price

X plc has 10 million ordinary shares in issue at 1 January 20X4. Its accounting year end is 31 December. During 20X4 the following events occur:

Date	Event
1 April 20X4	2 million shares are issued to acquire a subsidiary
1 October 20X4	2 million shares are issued at full market price

Requirement

What is the weighted average number of ordinary shares outstanding during the period?

Solution

The weighted average number of ordinary shares is calculated as follows.

		Weighted average (million)
January to March	$10\text{m} \times 3/12 =$	2.5
April to September	$12\text{m} \times 6/12 =$	6.0
October to December	$14\text{m} \times 3/12 =$	3.5
		<u>12.0</u>

5.6 Bonus issue

When a bonus issue is made:

- additional shares are issued to the ordinary equity holders in proportion to their current shareholding, for example one new share for each five shares already owned;
- no cash is received for these shares; and
- reserves are capitalised by a debit to share premium/retained earnings.

In this case the issuing entity has not received any additional resources to help increase earnings. Each shareholder has more shares, but still has the same proportionate interest in the entity. As an example, a shareholder owning 100,000 shares out of the 1 million in issue has a 10% interest. If the entity makes a 1 for 2 bonus issue, the shareholder will own 150,000 shares out of the 1.5 million now in issue, still a 10% interest.

For a bonus issue the treatment for the weighted average number of shares is to assume that the **shares have always been in issue**. This means that they should be treated as having been issued at the start of the earliest period for which results are reported, usually the start of the year presented as the comparative figures.



Worked example: Bonus issue

X plc has 10 million ordinary shares in issue at 1 January 20X3. Its accounting year end is 31 December.

Earnings:

	CUm
20X4	13
20X3	10

Two million bonus shares are issued on 1 October 20X4.

Requirements

- 1 Calculate the basic EPS amount that was presented in the 20X3 financial statements.
- 2 Calculate the 20X4 and 20X3 (restated) basic EPS to be presented in the 20X4 financial statements.

Solution

- 1 20X3 financial statements: $\text{EPS (CU10m/10m shares)} = 100\text{p}$
- 2 20X4 financial statements:

Basic EPS for both years should be calculated as if the bonus shares had always been in issue. Basic EPS for 20X4 $(\text{CU13m}/(10\text{m} + 2\text{m})) = 108.3\text{p}$

Basic EPS for 20X3 restated $(\text{CU10m}/(10\text{m} + 2\text{m})) = 83.3\text{p}$

Note: An alternative adjustment to the 20X3 basic EPS as originally stated would be to multiply it by (shares before bonus/shares after bonus), so $100\text{p} \times (10\text{m}/12\text{m}) = 83.3\text{p}$



Interactive question 6: Bonus issue

At 1 January 20X4 and 1 January 20X5 X plc had in issue 20 million ordinary shares. During 20X5 the following events took place:

Date	Event
31 May 20X5	Issue of 6 million shares for cash at full market price
30 September 20X5	Bonus issue of 1 for 2

Earnings for the year ended 31 December 20X4 were CU6 million and for the year ended 31 December 20X5 were CU8 million.

Requirements

- 6.1 Calculate the basic EPS originally reported in 20X4.
- 6.2 Calculate the basic EPS reported in 20X5 including comparative.
- 6.3 See **Answer** at the end of this chapter.

5.7 Rights issue

A rights issue is:

- an issue of shares for cash to the existing ordinary equity holders in proportion to their current shareholdings; and
- at a discount to the current market price.

Because the issue price is below the market price, a rights issue is in effect a combination of **an issue at full value and a bonus issue**.

In order to calculate the basic EPS number of shares when there has been a rights issue, an adjustment for the bonus element is required:

$$\text{Adjustment} = \frac{\text{Pre - rights fair value of shares}}{\text{Theoretical ex - rights fair value}}$$

The pre-rights fair value of the shares is the market price immediately before the rights issue is announced. The theoretical ex-rights fair value is the theoretical price at which the shares would trade after the rights issue and takes into account the diluting effect of the bonus element in the rights issue. For the purpose of these learning materials the term 'theoretical ex-rights price', otherwise known as TERP, is used as an equivalent recognised term.

The adjustment is used to increase the number of shares in issue **before** the rights issue for the bonus element.

Note: The TERP is used because the market price at which the shares trade after the rights issue takes account of other factors; for example, it will go up above the TERP if investors interpret the rights issue as a positive sign for the development of the issuing company, and go down below it if they interpret it as a negative sign.



Worked example: TERP

A 1 for 3 rights issue is made at 132p when the market price is 220p.

Requirement

What is the TERP?

Solution

	Number	Price p	Total p
Pre-rights issue holding	3	220	660

Rights share	1	132	132
	<u>4</u>		<u>792</u>

TERP (792/4) = 198p

Note: To prove that a rights issue is a combination of an issue at full market price and a bonus issue, consider the effect if instead of this rights issue, an issue of 1 for 8 had been made at the full market price of 220p, followed immediately by a 1 for 9 bonus.

	Number	Price p	Total p
Initial holding	8	220	1,760
Issue at full market price	1	220	<u>220</u>
Revised holding	9		1,980
Bonus issue	1	N/A	<u>0</u>
Revised holding	<u>10</u>		<u>1,980</u>
Theoretical price (1,980/10) = 198p			



Worked example: EPS following a rights issue

The following information is available for an entity.

	CU
Earnings	
20X2	1,000,000
20X3	1,300,000
20X4	1,500,000

Number of shares in issue at 1 January 20X2: 800,000

Rights issue: 1 for 4 at CU5 each on 1 April 20X3 when the market value was CU7

Requirement

What are the basic EPS amounts for each of the three years **after** adjustment for the rights issue?

Solution

Computation of theoretical ex-rights price (TERP):

	Number	Price p	Total p
Pre-rights issue holding	4	700	2,800
Rights share	1	500	<u>500</u>
	5		3,300

$$\text{Therefore TERP} = \frac{3,300}{5} = 660\text{p}$$

Computation of bonus adjustment factor:

$$\text{Adjustment} = \frac{\text{Value of share before rights}}{\text{TERP}} = \frac{700\text{p}}{660\text{p}}$$

Computation of EPS:

Computation of EPS:

20X2

Earnings CU1m/(800,000 shares × (700/660)) = 117.9p

20X3

Earnings = CU1.3m

Total

Weighted average shares

1 January - 31 March = 800,000 × 700/660 × 3/12 212,121

1 April - 31 December = 800,000 × ((4 + 1)/4) × 9/12 750,000

962,121

Basic EPS $\frac{\text{CU1.3m}}{962,121} = 135.1\text{p}$

20X4 Basic EPS $\frac{\text{CU1.5m}}{(800,000 \times (4 + 1)/4)} = 150.0\text{p}$

Interactive question 7: Rights issue

At 1 January 20X8 and 1 January 20X9 Box plc had in issue 10 million ordinary shares. On 30 June 20X9 Box plc made a 1 for 4 rights issue at CU2.40 per share. At that date the market price before the issue was announced was CU3.20 per share. The earnings of the company were CU4 million for 20X8 and CU4.8 million for 20X9.

Requirement

Calculate the reported basic EPS for 20X9 (including the comparative).

See **Answer** at the end of this chapter.

5.8 Repurchase of shares

When shares are repurchased and held as treasury shares the number of shares in issue reduces but share capital remains unchanged as the treasury shares are shown in a separate reserve (it is a debit balance and is therefore presented as a negative reserve). An adjustment therefore needs to be made when calculating the weighted average number of shares as part of the EPS calculation.

If the shares are repurchased at market price, the resources expended on the repurchase are commensurate with the reduction in the number of shares. If the shares are repurchased for a price above market value, the resources expended will exceed the reduction in the number of shares. This reduces EPS and so the prior year EPS must be adjusted to reflect this.

In the exam a share repurchase will always be at market price.

Worked example: Weighted average following repurchase

An entity had 10 million CU1 ordinary shares in issue at 1 January 20X8 and on 30 September 20X8 entered into a repurchase arrangement to buy back two million CU1 ordinary shares at market price. The repurchased shares are recognised in a separate reserve as treasury shares.

Requirement

What is the number of shares that will be used to calculate EPS at 31 December 20X8?

Solution

The weighted average number of shares will be calculated as follows:

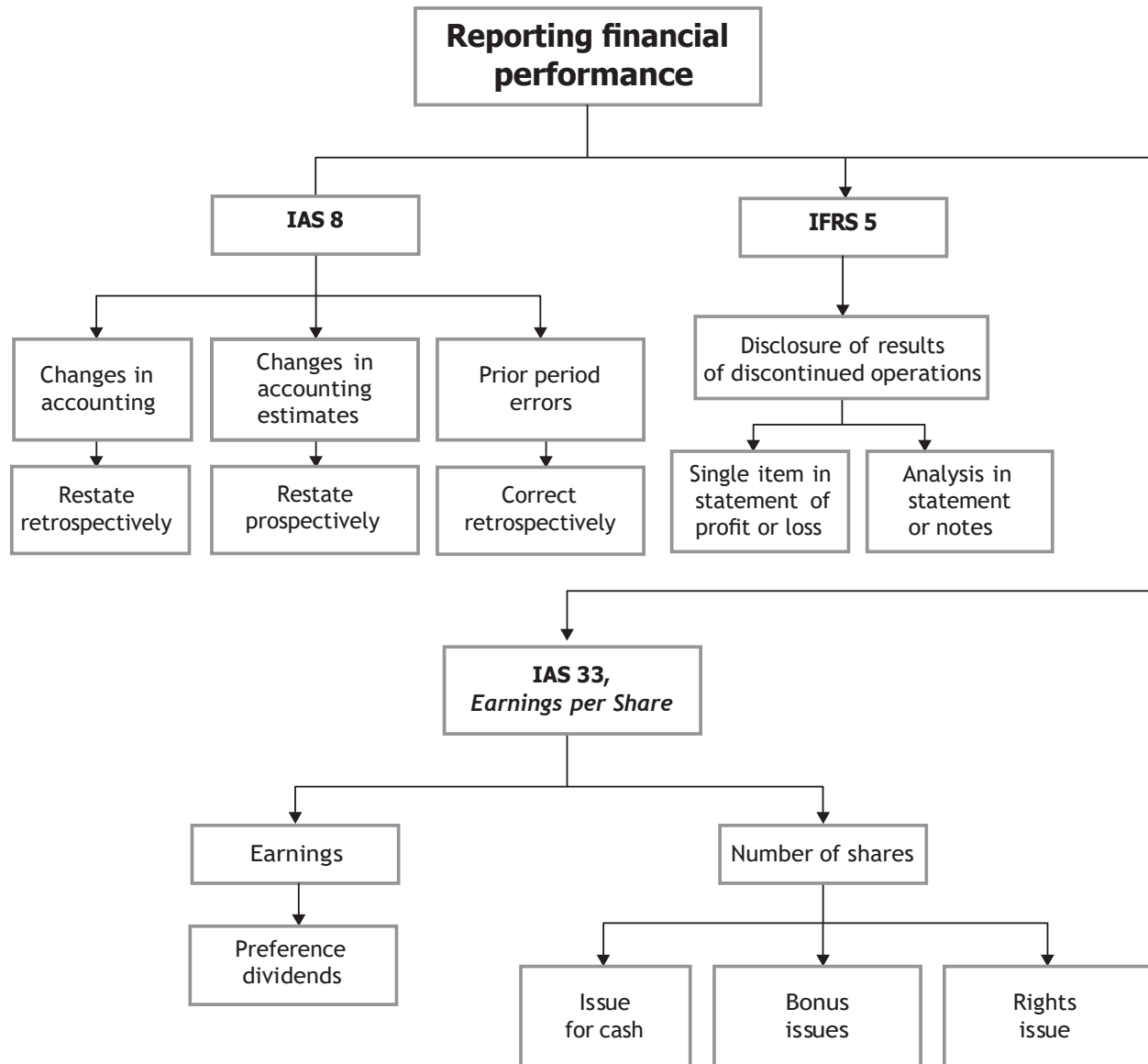
10m × 9/12	7,500,000
8m × 3/12	<u>2,000,000</u>
	<u>9,500,000</u>



Professional skills focus: Structuring problems and solutions

You are likely to be asked to calculate earnings per share in a question which follows a number of adjustments to be made to the financial statements. Make sure that you have processed all the adjustments required in the question prior to methodically working through the EPS calculation. In particular, watch carefully for any bonus or rights issues of shares and learn the process carefully for comparing the EPS with the prior year.

Summary



Further question practice

1 Knowledge diagnostic

Before you move on to question practice, confirm you are able to answer the following questions having studied this chapter. If not, you are advised to revisit the relevant learning from the topic indicated.

	Confirm your learning
1.	Can you distinguish between an accounting policy and an accounting estimate? (Topic 1)
2.	Do you understand when changes to accounting policies, estimates or adjustments for errors are applied retrospectively or prospectively? (Topic 1)
3.	Do you understand the source of exchange gains and losses for an entity? Ensure you can account for any exchange gain or loss, including those on revalued assets. (Topic 3)
4.	Can you define what is meant by a related party? Why is disclosure of related party transactions and balances in the financial statements important to users of the accounts? (Topic 4)
5.	Do you understand how to calculate a basic earnings per share, and why is it different when there has been a bonus or rights issue of shares during the year? (Topic 5)

2 Question practice

Aim to complete all self-test questions at the end of this chapter. The following self-test questions are particularly helpful to further topic understanding and guide skills application before you proceed to the next chapter.

Question name	Learning benefit from attempting this question
Pipe Ltd	This question tests your knowledge of changes in accounting policies, estimates and when to make the changes.
Anodyne plc	Anodyne plc gives you a chance to practice your identification of the factors of IFRS 5 (and you can then give yourself additional practice by attempting Q4 Grant plc if you have struggled with Q3).
Abercorn Ltd	A simple foreign exchange question testing translation and the accounting for exchange gains and losses.
Western Enterprises Ltd	A more complex financial statements preparation question that incorporates a number of elements from the chapter.

Once you have completed these self-test questions, it is beneficial to attempt the following question from the Question Bank for this module. This question has been selected to introduce an exam-style scenario that will help you improve your knowledge application and professional skills development before you start the next chapter.

Question name	Learning benefit from attempting this question
MilloMops plc (part 1 and part 3 (issue 4 only))	Part 1 (issue 4) requires the explanation of the accounting treatment for a potential related party transaction and part 3 requires an explanation of why it is necessary to disclose related party transactions.

Refer back to the learning in this chapter for any questions which you did not answer correctly or where the suggested solution has not provided sufficient explanation to answer all your queries. Once you have attempted this question, you can continue your studies by moving onto the next chapter.

Technical reference

Note: The following sets out the examinability of the standards covered in this chapter.

- **IAS 8** – All examinable
- **IFRS 5** – References to disposal groups and implementation guidance (except 11 and 12) are not examinable
- **IAS 21** – Only paragraphs 1–34 are examinable
- **IAS 24** – All examinable except for 25–27
- **IAS 33** – Only paragraphs 1–29 examinable

The paragraphs listed below are the key references you should be familiar with.

1 Accounting policies

- Definition – **IAS 8 (5)**
- Developed by reference to the relevant Standard/Interpretation where this is applicable – **IAS 8 (7)**
- Otherwise judgement applied – **IAS 8 (10)**
- Selection and application should be consistent – **IAS 8 (13)**

2 Change in accounting policies

- Only allowed if:
 - required by a Standard/Interpretation; or
 - results in relevant and more reliable information – **IAS 8 (14)**
- Changes should be applied:
 - in accordance with transitional provisions; or
 - retrospectively if there are no transitional provisions or the change is voluntary – **IAS 8 (19–22)**
- Retrospective application is applying a new accounting policy as if that policy had always been applied – **IAS 8 (5)**
- If impracticable to determine the period specific effects:
 - Apply the new accounting policy from the earliest period for which retrospective application is practicable
 - Disclose this fact – **IAS 8 (23–28)**
- When changes are made to presentation or classification of items, comparative amounts should also be reclassified, unless impracticable – **IAS 1 (41–42)**

3 Changes in accounting estimates

- Definition – **IAS 8 (5)**
- Changes relating to assets, liabilities or equity are adjusted in the period of change – **IAS 8 (37)**
- All other changes should be applied prospectively:
 - In the period of change
 - In the period of change and future periods if both are affected – **IAS 8 (36)**

- Disclosure:
 - Nature of change
 - Amount - **IAS 8 (39)**

4 Prior period errors

- Definition - **IAS 8 (5)**
- Correct retrospectively in the first set of financial statements authorised for issue after their discovery - **IAS 8 (42)**
- Disclose
 - Nature of the prior period error
 - Amount of the correction for each prior period presented
 - Amount of the correction at the beginning of the earliest period presented - **IAS 8 (45)**
- If impracticable to determine the period-specific effects or the cumulative effect of the error:
 - Correct the error from the earliest period/date practicable
 - Disclose this fact - **IAS 8 (49)**

5 Discontinued operations

- Definition - **IFRS 5 (31-32)**
- Disclosures in the statement of profit or loss - a single amount comprising the total of:
 - The post-tax profit or loss of discontinued operations, and
 - The post-tax gain or loss recognised on related assets - **IFRS 5 (33(a))**
- Disclosures in the statement of profit or loss or in the notes - an analysis of the single amount disclosed in the statement of profit or loss - **IFRS 5 (33(b) (c))**
- Comparative figures must be restated - **IFRS 5 (34)**
- Narrative disclosures are also required - **IFRS 5 (41)**
- If part of the business is discontinued but it does not meet the criteria then its results must be included in those from continuing operations - **IFRS 5 (37)**

6 Foreign currency transactions

- Definition: functional currency - **IAS 21 (9)**
- Initial recognition of foreign currency transactions - **IAS 21 (20)**
- Reporting at the ends of subsequent reporting periods - **IAS 21 (23)**
- Recognition of exchange differences - **IAS 21 (27-34)**

7 Related party disclosures

- Definition: related party - **IAS 24 (9)**
related party transaction - **IAS 24 (9)**
- Disclosure - **IAS 24 (13-24)**

8 Earnings per share

- Definition - **IAS 33 (5)**
- Basic earnings per share - **IAS 33 (9-29)**

Self-test questions

Answer the following questions.

1 Pipe Ltd

During the year to 30 September 20X6, the following events occurred in relation to Pipe Ltd.

- (1) A claim for tax relief, submitted in 20X3, was rejected by the General Commissioners of HMRC. No appeal will be made. The resulting liability of CU15,000 was not provided at 30 September 20X5, since the company had expected the claim to succeed.
- (2) A cut-off error in respect of inventories at 30 September 20X5 was discovered which would have reduced the carrying amount of inventories by CU24,000. This error is material but not fundamental.
- (3) Non-current assets which had been written down to their estimated realisable value of CU17,000 at 30 September 20X5 were sold for CU7,000.

Requirement

How much should be accounted for retrospectively as an adjustment to retained earnings brought forward at 1 October 20X5?

2 IFRS 5

When considering IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*, which of the following statements is/are true?

- A A discontinued operation must have been disposed of by the end of the reporting period.
- B A discontinued operation must be a separate major line of business or geographical area of operation.
- C A discontinued operation must be clearly distinguished operationally and for financial reporting purposes.

3 Anodyne plc

During the financial year Anodyne plc carried out a reorganisation as follows.

Division X, a UK division whose operations are being terminated and transferred to another UK division producing the same product.

Division Y, the sole operator in South America whose business is being sold externally to the group.

Activity W, (part of Division Z) whose operations have been closed down. W's results have not been reported separately.

Requirement

Which of these divisions could be a discontinued operation according to IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations*?

4 Grant plc

During the year to 30 April 20X9 Grant plc carried out a major reorganisation of its activities as follows.

Maynard was closed down on 1 January 20X9. Maynard was the only manufacturing division of the company, and as a result of the closure Grant's only activity will be the retail of artists equipment.

On 30 March 20X9 it was decided to sell Lytton, the only division that operated in Europe. The company were confident of a sale within the year. The sale actually took place on 15 July 20X9.

The activities carried on by Hobhouse were terminated during the period. Hobhouse was one of a number of smaller divisions which operated from the same location as the main headquarters of Grant. All these divisions use the same central accounting system and operating costs are allocated between them for the purpose of the management accounts.

The accounts for the year ended 30 April 20X9 were approved on 7 July 20X9.

Requirement

Which of these divisions should be classified as discontinued operations in accordance with IFRS 5, *Non-current Assets Held for Sale and Discontinued Operations* in the financial statements of Grant plc for the year ended 30 April 20X9?

5 Abercorn Ltd

Abercorn Ltd, whose year end is 31 December, buys some goods from Prima SA of France on 30 September. The invoice value is €40,000 and is due for settlement in equal instalments on 30 November and 31 January. The exchange rate moved as follows.

	€ = CU1
30 September	1.60
30 November	1.80
31 December	1.90
31 January	1.85

Requirement

Prepare the journal entries required to record this transaction in the accounting records of Abercorn Ltd.

6 Related parties

You are preparing the financial statements of James plc for the year ended 30 September 20X6.

Requirements

Explain whether the following are related party relationships for James plc under IAS 24, *Related Party Disclosures*.

- (a) James plc and Ali plc are separate entities but each have a board containing five directors, four of whom are common. There are no common shareholdings.

- (b) James plc has two associated companies, Hester Ltd and Frances Ltd.
- (c) Robyn Pearson is a director of James plc and Frodsham Ltd.
- (d) Giprock Ltd controls James plc. Giprock Ltd also exerts significant influence over Kendal plc.

7 Mitchell Bros plc

Mitchell Bros plc had 14 million ordinary shares in issue on 1 January 20X4 and 20X5. In its financial year ended 31 December 20X5 it issued further shares as follows:

- on 1 April, four million shares in consideration for the majority holding in another entity; and
- on 1 July a rights issue of 1 for 6 at a price of CU15 per share. The market price of Mitchell Bros shares immediately before the rights issue had been CU20 per share.

A profit of CU17 million attributable to the ordinary equity holders was reported for 20X5 and CU14 million for 20X4.

The shares issued on the acquisition were issued at their full fair value.

Requirement

Calculate basic EPS for the year ended 31 December 20X5 and the basic EPS for the year ended 31 December 20X4, as restated in the 31 December 20X5 financial statements.

8 Western Enterprises plc

Western Enterprises plc wholesales and distributes toys and models and provides distribution services to other organisations. The following balances have been extracted from its cloud-based accounting software as at 31 December 20X3.

	CU
Ordinary shares	800,000
5% redeemable preference shares	200,000
Share premium account	350,000
Retained earnings at 1 January 20X3	2,000,000
Revenue	11,899,000
Purchases	8,935,000
Inventories at 1 January 20X3	974,000
Staff costs – distribution	270,000
Staff costs – administration	352,000
Depreciation charge for the year	
Freehold land and buildings	30,000
Distribution equipment	116,000
Other plant and equipment	160,000
General expenses	432,000
Interest receivable	41,000
Interest payable	35,000
Taxation – charge for the year	336,000
Paid dividends	
Ordinary shares – final regarding 20X2	60,000

Ordinary shares – interim regarding 20X3	30,000
5% redeemable preference shares – for 20X3	10,000
Patent rights	200,000
Freehold land and buildings – cost	1,200,000
Distribution equipment – cost	800,000
Other plant and equipment – cost	1,400,000
Accumulated depreciation at 31 December 20X3	
Freehold land and buildings	130,000
Distribution equipment	320,000
Other plant and equipment	250,000
Trade receivables	1,600,000
Trade payables	850,000
Cash and cash equivalents	300,000
Tax liability	400,000

Additional information

- (1) Included in revenue are invoices totalling CU120,000 in relation to distribution services rendered under a contract to a customer. The contract price was CU100,000 and provides for a CU20,000 bonus for early completion. The contract is currently 65% complete and management believe that there is a 55% chance of early completion.
- (2) The patent was acquired during the year. Amortisation of CU20,000 should be charged to administrative expenses.
- (3) Inventories at 31 December 20X3 were valued at CU1,304,000.
- (4) Costs not specifically attributable to one of the profit or loss expense headings should be split 50:50 between distribution costs and administrative expenses.
- (5) Inventories carried at CU846,000 were purchased from Germany in euros and payment is due on 2 March 20X4. At the date of the transaction the exchange rate was €1.55 to CU1. At 31 December 20X3 the exchange rate was €1.50 to CU1.
- (6) A final ordinary share dividend for 20X3 of CU50,000 was proposed in May 20X4, payable on 28 June 20X4.
- (7) CU450,000 cash was received during the year as a result of a rights issue of ordinary shares. The nominal value of the shares issued was CU100,000.
- (8) On 1 June 20X3 the company made the decision to sell its loss-making soft toy division as a result of severe competition from the Far East. The company is confident that the closure will be completed by 30 April 20X4. The division's operations represent in 20X3 10% of revenue (after all adjustments), 15% of cost of sales, 10% of distribution costs and 20% of administrative expenses. No disclosures are necessary in the statement of financial position.

Requirement

Prepare Western Enterprises plc's statement of profit or loss and statement of changes in equity for the year to 31 December 20X3, a statement of financial position at that date and movements schedules and notes in accordance with the requirements of IFRS Standards, to the extent the information is available.

Now go back to the Introduction and ensure that you have achieved the Learning outcomes listed for this chapter.

Answers to Interactive questions

Answer to Interactive question 1

Statement of profit or loss for the year ended 31 December 20X7

	CU
<i>Continuing operations</i>	
Revenue (W)	268,000
Cost of sales (W)	(85,000)
Gross profit	183,000
Distribution costs (W)	(28,000)
Administrative expenses (W)	(80,000)
Profit before tax	75,000
Income tax expense	(21,000)
Profit for the year from continuing operations	54,000
<i>Discontinued operations</i>	
Loss for the year from discontinued operations (W)	(5,000)
Profit for the year	49,000

WORKING

Continuing and discontinued operations

	Continuing operations	Discontinued operations	Total
	CU	CU	CU
Revenue	268,000	32,000	300,000
Cost of sales	(85,000)	(15,000)	(100,000)
Gross profit	183,000	17,000	200,000
Distribution costs	(28,000)	(12,000)	(40,000)
Administrative expenses	(80,000)	(10,000)	(90,000)
Profit/(loss) before tax	75,000	(5,000)	70,000
Income tax expense	(21,000)		(21,000)
Net profit/(loss) for year	54,000	(5,000)	49,000

Answer to Interactive question 2

	DR CU	CR CU
31 Oct 20X8 Purchases (129,000 @ 9.50)	13,579	
Trade payables		13,579
31 Dec 20X8 Trade payables	679	
Profit or loss - exchange gains (W)		679
31 Jan 20X9 Trade payables	12,900	
Profit or loss - exchange losses	399	
Cash (129,000 @ 9.7)		13,299

WORKING

Exchange gain on retranslation of trade payables

	CU
Trade payables as at 31 December 20X8 (129,000 @ 10)	12,900
Trade payables as previously recorded	13,579
Exchange gain	<u>679</u>

Answer to Interactive question 3

- 3.1 Chablis is owned by one of the close members of the family of a member of Pinot's key management personnel, so it is a related party of Pinot. Disclosure should be made of the nature of the relationship, any transactions during the period and the fact that the CU100,000 balance has been written off during the period.
- There is no requirement to disclose the debt collection costs of CU4,000, or the names of Chablis, the director of Pinot or his daughter.
- 3.2 Merlot is very probably a related party of Pinot because Pinot's 40% shareholding in it appears to provide Pinot with significant influence over Merlot. Despite being an arm's length price, the value of the transaction should be disclosed (aggregated with similar transactions during the year if appropriate).
- The company should only disclose that related party transactions were made on terms equivalent to those that prevail in arm's length transactions if these terms can be substantiated.
- The nature of the relationship should be disclosed, but no names need to be disclosed.
- 3.3 The distributor is not a related party of Pinot, thus no separate disclosure is required.
- 3.4 Mrs Barolo is a member of the key management personnel of Pinot, so is one of its related parties. The transaction with Mrs Barolo is therefore a related party transaction. However, Pinot has determined that the transaction is immaterial, and therefore it does not require disclosure in the financial statements. The car was due to be sold on the open market at its fair value, it is therefore unlikely to be of interest to users of the financial statements that the car was sold to a director at market value.

Answer to Interactive question 4

	CUm
Profit attributable to owners of the parent	1,897
Less dividend on irredeemable preference shares	(400)
Profit attributable to ordinary equity holders of the parent	1,497

$$\text{EPS} = 1,497/6,241 = 24\text{p per share}$$

Answer to Interactive question 5

	CUm
Profit attributable to owners of the parent	82
Less one year's dividend on irredeemable preference shares (20 - 15)	(5)
Profit attributable to ordinary equity holders of the parent	77

$$\text{EPS} = 77/1,200 = 6.4\text{p per share}$$

Answer to Interactive question 6

6.1 EPS originally reported in 20X4 (CU6m/20m) = 30p

6.2 The bonus issue is treated as having been issued at the start of 20X4 (the earliest reported period).

The adjusted weighted average number of shares for 20X4 is $(20\text{m} \times (2 + 1)/2) = 30\text{m}$

The restated 20X4 EPS is (CU6m/30m) =

20p EPS for 20X5

Weighted average shares:

As the bonus issue came **after** the issue for cash at full market price, the 6 million new shares rank for the bonus issue.

	Weighted average (million)
1 January - 31 May = $20\text{m} \times (2 + 1)/2 \times 5/12$	12.50
1 June - 31 December = $(20\text{m} + 6\text{m}) \times ((2 + 1)/2) \times 7/12$	22.75
	<u>35.25</u>

$$\text{EPS (CU8m/35.25m)} = 22.7\text{p}$$

Answer to Interactive question 7

Computation of theoretical ex-rights price (TERP)

	Number	CU	CU
Pre-rights issue holding	4	@ 3.20	12.80
Rights share	1	@ 2.40	<u>2.40</u>
	5		<u>15.20</u>

$$\text{TERP} = \frac{\text{CU}15.20}{5} = \text{CU}3.04$$

Computation of bonus adjustment factor:

$$\text{Adjustment} = \frac{\text{Value of shares before rights}}{\text{TERP}} = \frac{320\text{p}}{304\text{p}}$$

Computation of basic EPS:

$$20\text{X}8 \text{ EPS} = \frac{\text{CU}4\text{m}}{10\text{m shares} \times \frac{320}{304}} = 38.0\text{p}$$

20X9 Earnings = CU4.8m

Total

Weighted average shares

1 January - 30 June $10\text{m} \times 320/304 \times 6/12$

5,263,158

1 July - 31 December $10\text{m} \times ((4 + 1)/4) \times 6/12$

6,250,000

11,513,158

$$\text{EPS} = \frac{\text{CU}4.8\text{m}}{11,513,158} = 41.7\text{p}$$

Answers to Self-test questions

1 Pipe Ltd

Under IFRS Standards, items (1) and (3) arise from normal estimation errors and are recognised in the current accounting period. Item (2) results from an error which reduces retained earnings brought forward by CU24,000. This reduction to the brought forward amount is achieved by restating the comparative period financial statements and therefore no adjustment to retained earnings is required at the start of the current period.

2 IFRS 5

The correct answers are:

- B** A discontinued operation must be a separate major line of business or geographical area of operation.
- C** A discontinued operation must be clearly distinguished operationally and for financial reporting purposes.

In order to be classified as discontinued, a component must either have been disposed of or be held for sale (provided that it is highly probable that it will be sold within 12 months of classification (IFRS 5: para. 8)).

3 Anodyne plc

Division Y could be a discontinued operation as a geographical area of operations is being sold.

Division X is not a discontinued operation as a separate line of business is not being terminated – production is shifting from one division to another.

Activity W is not discontinued, as it cannot be separately distinguished for financial reporting purposes.

4 Grant plc

Maynard and Lytton should both be classified as discontinued operations. Maynard amounts to the withdrawal from a particular line of business. Lytton amounts to the withdrawal from a geographical area of operation. The date of sale is irrelevant.

5 Abercorn Ltd

The purchase will be recorded in the accounting records of Abercorn Ltd using the rate of exchange ruling on 30 September.

	CU	CU
DR Purchases	25,000	
CR Trade payables		25,000

CU25,000 being the CU cost of goods purchased for €40,000 ($€40,000 \div €1.60/\text{CU1}$)

On 30 November, Abercorn Ltd must pay €20,000. This will cost $€20,000 \div €1.80 = \text{CU}11,111$ and the company has therefore made an exchange gain of $\text{CU}12,500 - \text{CU}11,111 = \text{CU}1,389$.

	CU	CU
DR Trade payable	12,500	
CR Exchange gain: profit or loss		1,389
CR Cash		11,111

On 31 December, the year end, the outstanding liability will be recalculated using the rate applicable to that date: €20,000/ €1.90 = CU10,526. A further exchange gain of CU1,974 has been made and will be recorded as follows.

	CU	CU
DR Trade payables	1,974	
CR Exchange gain: profit or loss		1,974

The total exchange gain of CU3,363 will be included in the operating profit for the year ending 31 December.

On 31 January, Abercorn Ltd must pay the second instalment of €20,000. This will cost them CU10,811 (€20,000/ €1.85).

	CU	CU
DR Trade payable	10,526	
DR Exchange loss: profit or loss	285	
CR Cash		10,811

6 Related parties

- (a) All five directors of James plc are members of its key management personnel and are therefore its related parties. The same is the case for all five directors of Ali plc. Individually the four common directors do not have significant influence over either James plc or Ali plc, but together, as the clear majority of the board, they can control both of them.

James plc and Ali plc are not necessarily related parties of each other. IAS 24 requires consideration of the substance of situations, not just their legal form. If the four directors are acting in concert, then in substance they control both entities which are therefore related parties of each other.
- (b) Hester Ltd and Frances Ltd are associates of the same investor, James plc. James plc has significant influence over each company and therefore both Hester Ltd and Frances Ltd are related parties of James plc. Hester Ltd and Frances Ltd would not normally be regarded as related parties of each other.
- (c) James plc and Frodsham Ltd have one director in common, but there is no information about shareholdings which would indicate that this director has control over either of them. They would not normally be regarded as related parties of each other.
- (d) Kendal plc is an associate of Giprock Ltd and James plc is a member of the Giprock Group, so Kendal plc and James plc are related parties per IAS 24.9(b)(ii).

7 Mitchell Bros plc

The issue at full market price does not contain any bonus element (that is it is not expected to reduce/dilute the future earnings potential of each share). It is therefore simply time apportioned.

The rights issue is priced below market price, which will dilute the future earnings potential of each ordinary share. There will need to be a retrospective adjustment to EPS to allow for this. This is achieved by calculating the bonus fraction and retrospectively increasing the number of ordinary shares before the rights issue occurring.

The calculation of the weighted average number of shares in issue is as follows:

Date	Number of shares (‘000)	Time	Bonus fraction	Weighted average
1 January 20X5	14,000	3/12	(W) 20/19.29	3,628,823
1 April 20X5	<u>4,000</u>			
	18,000	3/12	(W) 20/19.29	4,665,630
1 July 20X5	<u>3,000</u>			
	21,000	6/12		<u>10,500,000</u>
Weighted average				<u>18,794,453</u>

The basic EPS for 20X5 is therefore CU17m/18,794,453 = 90.45p.

The previous year’s EPS should have been reported in the 20X4 financial statements as CU14m/14m = 100p per share. This should be restated as $100p \times 19.29/20 = 96.45p$.

WORKING

Calculation of theoretical ex-rights price (TERP) and bonus element

	Number	Price CU	Total CU
Pre-rights holding	6	20	120
Rights share	1	15	<u>15</u>
Post-rights holding	7		<u>135</u>

$$\text{TERP} = \text{CU}135/7 = \text{CU}19.29$$

The bonus element of this issue is therefore 20/19.29. This means that future EPS is expected to be 19.29/20 of the amount before the rights issue at below market price.

8 Western Enterprises plc

Statement of profit or loss for the year ended 31 December 20X3

	CU
Continuing operations	
Revenue (W1)	10,660,000
Cost of sales (W2)	<u>(7,314,000)</u>
Gross profit	3,346,000
Distribution costs (W2)	<u>(627,000)</u>

Administrative expenses (W2)	(568,960)
Operating profit	2,150,040
Finance cost (35 + 10)	(45,000)
Finance income	41,000
Profit before tax	2,146,040
Income tax expense	(336,000)
Profit for the year from continuing operations	1,810,040
	CU
Discontinued operations	
Loss for the year from discontinued operations (W4)	(319,240)
Profit for the year	<u>1,490,800</u>

Statement of changes in equity for the year ended 31 December 20X3

	Share capital CU	Share premium CU	Retained earnings CU	Total CU
Balance at 1 January 20X3	700,000		2,000,000	2,700,000
Changes in equity for 20X3:				
Issue of share capital	100,000	350,000		450,000
Dividends			(90,000)	(90,000)
Total comprehensive income for the Year			<u>1,490,800</u>	<u>1,490,800</u>
Balance at 31 December 20X3	<u>800,000</u>	<u>350,000</u>	<u>3,400,800</u>	<u>4,550,800</u>

Notes

- 1 The operating profit is arrived at after charging (see working below).
- 2 A final ordinary share dividend for 20X3 of CU50,000 is proposed for payment on 28 June 20X4.
- 3 On 1 June 20X3 the company classified its soft toy division as held for sale. The division had been loss-making for some time due to severe competition from the Far East. It is expected that the closure will be complete by 30 April 20X4.
- 4 Amounts attributable to this division in 20X3 were: revenue CU1,184,000; expenses CU1,503,000; and pre-tax loss CU319,000.

Statement of financial position as at 31 December 20X3

	CU	CU
ASSETS		
Non-current assets		
Property, plant and equipment (see Note 1)		2,700,000
Intangible assets (see Note 2)		180,000
		<u>2,880,000</u>
Current assets		
Inventories	1,304,000	
Trade and other receivables (1,600 – 55 (W1))	1,545,000	
Cash and cash equivalents	300,000	
		<u>3,149,000</u>
Total assets		<u><u>6,029,000</u></u>
EQUITY AND LIABILITIES		
Equity		
Ordinary share capital		800,000
	CU	CU
Share premium		350,000
Retained earnings		<u>3,400,800</u>
Total equity		4,550,800
Non-current liabilities Preference share capital		200,000
Current liabilities		
Trade and other payables (850 + 28.2 (W3))	878,200	
Taxation	<u>400,000</u>	
		<u>1,278,200</u>
Total equity and liabilities		<u><u>6,029,000</u></u>

Notes to the financial statements

Note 1 PROPERTY, PLANT AND EQUIPMENT

	Freehold land and buildings CU	Distribution equipment CU	Other plant and Equipment CU	Total CU
At 1 January 20X3	<u>1,200,000</u>	<u>800,000</u>	<u>1,400,000</u>	<u>3,400,000</u>
At 31 December 20X3	<u>1,200,000</u>	<u>800,000</u>	<u>1,400,000</u>	<u>3,400,000</u>
Depreciation				
At 1 January 20X3	100,000	204,000	90,000	394,000
Charge for the year	<u>30,000</u>	<u>116,000</u>	<u>160,000</u>	<u>306,000</u>
At 31 December 20X3	<u>130,000</u>	<u>320,000</u>	<u>250,000</u>	<u>700,000</u>
Carrying amount				
At 31 December 20X3	<u>1,070,000</u>	<u>480,000</u>	<u>1,150,000</u>	<u>2,700,000</u>
At 1 January 20X3	<u>1,100,000</u>	<u>596,000</u>	<u>1,310,000</u>	<u>3,006,000</u>

Note 2 INTANGIBLE ASSETS**CU**

Cost at 31 December 20X3	200,000
Amortisation	(20,000)
Carrying amount at 31 December 20X3	180,000
This patent was acquired during the year.	

WORKINGS**(1) Revenue**

	CU	CU
Per list of balances		11,899,000
Adjustment regarding incomplete contract		
Included in revenue	120,000	
Revenue in line with IFRS 15	<u>(65,000)</u>	
Adjustments to revenue and trade receivables	<u>(55,000)</u>	
		<u><u>11,844,000</u></u>

IFRS 15 requires that variable consideration is only included in transaction price to the extent that it is highly probable that it will not be reversed. In this case there is only a 55% probability that the bonus will be achieved and therefore it should not form part of the transaction price. The transaction price is CU100,000 and the contract is 65% complete therefore only CU65,000 should be recognised as revenue.

(2) Analysis of expenses

	Cost of sales	Distribution Costs	Administrative expenses
	CU	CU	CU
Opening inventories	974,000		
Purchases	8,935,000		
Staff costs		270,000	352,000
Depreciation			
Land and buildings		15,000	15,000
Distribution equipment		116,000	
Other PPE		80,000	80,000
General expenses		216,000	216,000
Amortisation of patent			20,000
Foreign exchange loss (W3)			28,200
Closing inventories	<u>(1,304,000)</u>		
	<u><u>8,605,000</u></u>	<u><u>697,000</u></u>	<u><u>711,200</u></u>

(3) Foreign exchange loss

	CU
Payable at date of transaction	846,000
Payable at year end date (846,000 × 1.55/1.5)	<u>(874,200)</u>
Exchange loss at end of reporting period	<u>(28,200)</u>

(4) Continuing/discontinued analysis

	Continuing operations CU	Discontinued operations CU	Total CU
Revenue (W1 – 90:10)	10,660,000	1,184,000	11,844,000
Cost of sales (W2 – 85:15)	<u>(7,314,000)</u>	<u>(1,291,000)</u>	<u>(8,605,000)</u>
Gross profit	3,346,000	(107,000)	3,239,000
Distribution costs (W2 – 90:10)	(627,000)	(70,000)	(697,000)
Admin expenses (W2 – 80:20)	<u>(568,960)</u>	<u>(142,240)</u>	<u>(711,200)</u>
Profit/(loss) from operations	2,150,040	(319,240)	1,830,800
Finance cost (35 + 10)	(45,000)	–	(45,000)
Finance income	<u>41,000</u>		<u>41,000</u>
Profit/(loss) before tax	2,146,040	(319,240)	1,826,800
Income tax	<u>(336,000)</u>		<u>(336,000)</u>
Profit/(loss) for the year	1,810,040	<u>(319,240)</u>	1,490,800

